



IF THERE EVER was an industry segment which got a booster shot from the pandemic, it is the OTT space. As the virus locked up millions of people indoors and turned movie theatres into ghost towns, viewers found succour in binge-watching millions of hours of content on streaming platforms as even the ever-flowing tap of TV channels' content went dry.

50 | Unbeknownst to most viewers, their binge-watching doubled OTT platforms' revenues over each of the two pandemic years. The number was ₹10,863 crore in 2021, a 4x jump over the pre-pandemic revenue of ₹2,714 crore in 2019, according to PwC estimates.

But as the health crisis comes under control and other avenues of entertainment open up, OTTs' growth rates are expected to mellow down. "You can't put the genie back into the bottle. People continue to use streaming as a choice. Even calibrated growth is healthy growth," says Gourav Rakshit, COO of Viacom18 Digital Ventures, who leads OTT streaming platform Voot. It is true. Seen as one of the fastest growing media and entertainment (M&E) segments, OTT revenues are set to swell to ₹21,032 crore by 2026 at a CAGR of 14.1 per cent.

But it is getting trickier to hold the attention of the fickle viewer who is spoilt for choice today. The 60-odd streamers in the country have pulled out all the stops to get the viewers to stay and pay. For starters, all major players are pumping truckloads of money into producing original content—₹3,700 crore in CY2021 alone, according to a report by research agency Omdia.

Among them, Amazon Prime Video—which the Omdia report says invested ₹1,040 crore in 2021—has said that it will double its content investments in India over the next five years. In April, it announced 41 original series, movies and co-productions in Hindi, Tamil and Telugu for the next two years. The e-commerce giant has also forayed into cricket streaming by acquiring the rights to air New Zealand matches. It hiked prices in India—a key market for the company with one of the

highest proportions of Prime members who stream on Prime Video each month—by 50 per cent across plans in December. "We continue to see fantastic customer adoption with India witnessing the maximum number of new customers worldwide, who started streaming on Prime Video last year. Indian consumers are value conscious and not price conscious," says Gaurav Gandhi, Country Head of Amazon Prime Video India.

It's rival Netflix, on the other hand, has slashed prices. The California-headquartered streaming giant has struggled to add subscribers in India with its western-flavoured content slate. It has lately taken to acquiring hit blockbuster Hindi films such as *Bhool Bhulaiyaa 2*, *Gangubai Kathiawadi* and *RRR* among a spate of digital premieres of films across Hindi, Tamil, Telugu and Malayalam. The streamer, which has made more than 90 original films and series in India at an investment of over



OVER THE TOP

▶ All major OTT players are investing in original content and, in some cases, live sports streaming

▶ Streaming platforms are coughing up hefty sums to bag exclusive digital rights of films

▶ There is a shift towards a middle ground between SVOD and AVOD called 'freemium'

▶ Global giants Netflix and Amazon Prime Video have a huge technology edge over home-grown players

▶ Home-grown platforms are ramping up investments to improve their buffering, video compression, live streaming, latency and other back-end functions

▶ Experimentation with different distribution models such as telecom bundling, aggregation and physical bundling are well underway to reach more subscribers